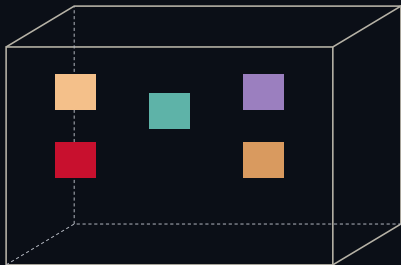


PHASE 0 / PROPOSAL SKETCH / MAY 24, 2026



Workforce Pell at SOU

*Applied Bioregional Learning,
a revenue strategy for the Rogue Valley.*

PROPOSED BY

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Annotated Ledger

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We are asked for revenue ideas. One arrives in eight weeks.

Southern Oregon University is drafting a downsizing proposal and has invited the public to bring innovative revenue ideas that could supplement existing academic tracks.

On **July 20, 2026**, a new federal program takes effect that four-year universities are uniquely positioned to deliver: **Workforce Pell**.

This deck proposes that SOU adopt a Workforce Pell track under the brand **Applied Bioregional Learning**. sou / applied bioregional learning
short, employer aligned

DECISION WINDOW

Spring 2026
SOU REVENUE IDEAS SOLICITED



Jul 20, 2026
WORKFORCE PELL EFFECTIVE



~8 weeks
TO ALIGN PROPOSAL & RULE

A new Pell category for short, high-quality, employment-aligned programs

PROGRAM SHAPE

- **8–15 weeks**, 150–599 clock hours
- No correspondence, noncredit, or remedial coursework
- Must be offered by an **accredited institution**
- Must award academic credit toward an existing certificate or degree

THREE ANNUAL ACCOUNTABILITY TESTS

- **70% of participants complete within 150% of normal time**

KEY TIMELINE

- **Jul 4, 2025** — OBBBA §83002 signed
- **Mar 9, 2026** — NPRM published
- **May 19, 2026** — Final rule published
- **Jul 20, 2026** — Rule effective (early opt-in Jul 1)
- **AY 2026/27 – 2028/29** — Interim phase: only 70/70 applies
- **AY 2029/30** — Transition: first value-added earnings calcs
- **AY 2030/31+** — Full accountability

Workforce Pell was written for institutions like SOU

THE DISTINCTIVE 4-YEAR MARKET

- **Bachelor's-degree holders are eligible** — rare in Pell. Career-changers, alumni, second-degree candidates.
- **Countercyclical** to the enrollment cliff: traditional 18-year-olds decline; adult re-skilling grows with AI & industry transformation.
- **41.9M Americans** aged 25–64 have some college but no credential (SCNC).
- Four-year accreditation, stackable credit, and bachelor's-ladder pathways are **moats that for-profit short-course providers cannot**

STATES ALREADY RUNNING THIS PLAY

- **Virginia** — \$140.8M New Economy Workforce Credential Grant: 90% completion, 67% earn industry credentials, 60%+ had no prior postsecondary.
- **Tennessee** — \$1.5B coordinated short-credential-to-degree pathway model.
- **Texas** — \$605.7M performance-based community-college funding.
- **Iowa, Louisiana** — robust noncredit + wage-record data systems already exist.
- **Oregon** — *state-level data & approval*

The Governor's roadmap names this exact playbook

FROM GOAL #2: MORE LIVING WAGE JOBS, NOW

*“A post-secondary education institution partners with local businesses and the state to **create a new training or certificate program tailored to emerging industry needs.** ... Employers launch a hiring process for newly created positions that specifically require the training, ensuring a **direct pipeline from education to employment.**”*

FROM NEXT STEPS, ITEM 3: REDUCE BARRIERS TO INVESTMENT

*“Amplify **regional economic development strategies** and support local efforts to **utilize unique regional resources, talent pools, and***

THIS PROPOSAL HITS ALL THREE ROADMAP GOALS

- **Goal 1 — Accelerate Economic Growth.** New GDP-contributing workforce; Pell-funded credentialing adds capacity at no SOU capex.
- **Goal 2 — More Living Wage Jobs, Now.** Matches the roadmap's named model: *post-secondary + employers + state*, with the federal funding attached.
- **Goal 3 — Retain & Grow Oregon Businesses.** Local trained workforce reduces RV employer attrition and recruitment cost.

SOU as the Rogue Valley's hub for Applied Bioregional Learning

WHAT SOU ALREADY BRINGS

- Accredited four-year public university anchoring Jackson and Josephine counties.
- Existing capacity in education, environmental sciences, business, computer science, outdoor adventure leadership, public health.
- **OHSU School of Nursing co-located at the SOU/OHSU Ashland campus — clinical nursing pathway already in place**

SOU STRENGTHS → RV DEMAND

Healthcare & allied health → CNA, LPN, Dental, Pharm Tech

Education & human services → paraprofessional, behavioral

Sustainability & trades → HVAC, energy auditing, water

Business & hospitality → supervisory, lodging, food service

Outdoor & applied sciences → fire, EMS, forestry tech

Workforce Pell occupations SOU could deliver without new hires or labs

EXISTING SOU DEPARTMENT / STRENGTH	EXAMPLE RV OCCUPATION	10-YR OPENINGS	2025 MEDIAN WAGE
Education	Preschool / Early Childhood Teacher	483	\$38,958
Environmental Sciences	Forest & Conservation Technician	241	\$55,786
Outdoor Adventure Leadership	Firefighter (wildland)	163	\$60,445
Public Health	Community Health Worker	86	\$58,490
Computer Science	Computer User Support Specialist	273	\$56,701
Business / Hospitality	Lodging / Hospitality Operations	124	\$67,496
Psychology / Human Services	Behavioral Health Peer Support (emerging)	—	—

HECC and WTDB shape what counts — the list is dynamic

WHAT THE FEDERAL RULE ACTUALLY SAYS

- Each Governor must publish a methodology for identifying **high-skill, high-wage, or in-demand** occupations (§690.93(b)).
- Only *one* of the three bars must clear. An occupation can qualify on **high-skill alone**.
- Lists must be **reviewed every two years** — designed to evolve.
- U.S. Dept. of Ed.: “Eligible programs will **vary across states** based on local labor market needs.”

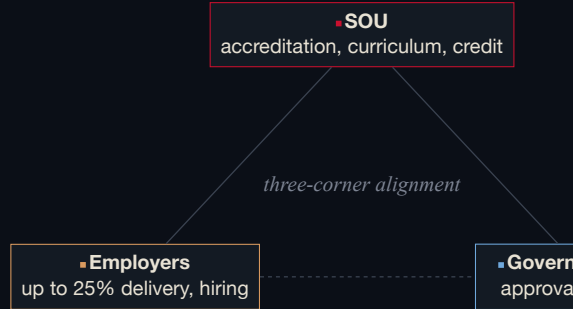
OREGON'S FOUNDATION IS ALREADY IN PLACE

- The **2026 Oregon Talent Assessment** (ECONorthwest → HECC) is explicitly the **methodology starting point** for Workforce Pell.
- **15 in-demand sectors** including Forestry & Wood Products (LQ 3.1), Clean Energy / Climate Tech, Social Assistance / Care Economy.
- **209 priority occupations** mapped against five criteria.
- SOU's environmental, fire, and teaching strengths fit *multiple* sectors on that list. ^{8 / 19}

Workforce Pell is, by design, a public-private partnership

The federal rule does not let an institution run a Workforce Pell program alone. Three partnerships are **statutory**:

- ■ **Government.** Governor + State Workforce Board certify alignment to high-skill, high-wage, in-demand occupations. Re-cert every two years.
- ■ **Employers.** May deliver up to 25% of instruction (49% in Registered Apprenticeship). May co-fund tuition. Hiring commitments support the 70%



Each corner brings something the others can't.

The model fails if any corner is absent

The data we already have suggests SOU can clear the bar

	ROGUE VALLEY	STATEWIDE
WIOA OUTCOME (2023, ALL PROGRAMS)		
Total WIOA participants	1,230	8,134
Measurable Skill Gain rate	60%	67%
Credential attainment (exiters)	64%	66%
Employment, 2 quarters after exit	71%	65%
Employment, 4 quarters after exit	66%	63%
Median earnings, 2 quarters after exit	\$8,500	\$9,000

Rogue Workforce Partnership already clears the 70% employment threshold for its participants.

Their data-collection pipeline is the demand-side spine we'd extend with SOU's supply side.

The data layer: from *Annotated Ledger* to *Ashland Intelligence*

THE PICTURE TODAY

- ■ **Annotated Ledger** — the SOU budget dashboard *already built*. Internal financial visibility.
- ■ **RWP / WIOA reporting** — regional participant outcomes published quarterly through HECC. Already exists.
- ■ **HECC WIOA dashboard** — public, but covers only WIOA-funded participants; no employer demand, no per-program ROI, no sub-board geography, 2-year lag.

WHAT WE PROPOSE TO BUILD

- ■ **Architecture partner: Autom Insights** — same firm that built SOREDI's regional economic data explorer. "Turning fragmented data into trusted insight."
- ■ **ashland.ai API** — a regional fusion layer that joins employer demand, institutional capacity, and federal predicates on one schema; cites every source.
- ■ **ashland.ai MCP** — an agent-accessible interface so AI tools can query the same layer for advising, intake, and reporting.

Anatomy of a SOU Workforce Pell program

CURRICULUM	DELIVERY	CREDENTIAL	OUTCOMES
8–15 weeks. 150–599 clock hours Employer-codesigned Industry assessment <i>built once, run repeatedly.</i>	SOU faculty + up to 25% employer-delivered hours (49% via RAP) <i>distributed teaching university orchestration</i>	Stackable to existing SOU certificate, AA or BA pathway. Counts as academic credit. <i>an entry, not a dead end.</i>	$\geq 70\%$ completion. $\geq 70\%$ employed 2Q after. Tuition $\leq$ value-added earnings cap. <i>defensible to Governor and Secretary.</i>

Each program approved first by the Governor (in consultation with the WTDB), then by the U.S. Secretary of Education.

A conservative ramp, assuming SOU only adapts existing programs

PER-COMPLETER UNIT ECONOMICS

Pell grant (avg, CBO)
Employer / state / other aid

Blended tuition revenue

cost side, mature program (30+ cohort)

Faculty (existing, course release/stipend)

Materials & supplies

Advising & student services

Employer & data coordination

Marketing & outreach

Administrative overhead (10%)

Total cost / completer

sou / applied bio

CONSERVATIVE THREE-YEAR RAMP (NET, NOT GROSS)

ACADEMIC YEAR	PROG	COHORT	COMPL.	ANNUAL NET
Year 1				
AY 2027/28	2	12	24	\$84k
Year 3				
AY 2029/30	4	30	120	\$540k
Year 5				
AY 2031/32	6	50	300	\$1.5M

Key assumption: SOU only launches programs that

Four years, five phases



For SOU administration

ASK 01 / 03

SOU administration

the institution — revenue diversification proposal owner.

- Include an **Applied Bioregional Learning / Workforce Pell track** in the revenue-diversification proposal.
- Designate a **state-relationship lead** by **June 30, 2026**.
- Pick **2–3 pilot programs** from the Rogue Valley demand list.
- Authorize the **Annotated Ledger & ashland.ai** data work.

For HECC + WTDB + Governor's Office

ASK 02 / 03

HECC + WTDB + Governor

*the state — alignment criteria,
Governor approval, scaling path-
way.*

sou / applied bioregional learning

- Use the existing **Oregon CTE Skill Cluster framework** as the alignment basis for Governor approval criteria.
- Use the **Rogue Workforce Partnership 2024–2028 Local Plan** as the regional demand evidence base.
- Engage SOU as a **pilot for the regional data layer** (the Ashland Intelligence prototype) that can scale to other Oregon institutions.
- Route engagement through the **Regional Solutions Program**; coordinate with the forthcoming **Chief Prosperity Officer** and **Prosperity Council** named in the Dec 2025 Prosperity Roadmap

For the Rogue Valley community & employers

ASK 03 / 03

Rogue Valley community & employers

the region — demand signal, hiring commitments, advocacy.

- Provide **employer intent letters** and **internship slots** for the first three programs.
- Advocate to SOU and HECC; build local momentum.
- Help operate the data engine that keeps the program defensible (the demand-side feed into Ashland Intelligence).

Eight weeks to the federal effective date. Four years before full accountability begins.

Time enough to start small, do it well, and let the rest of Oregon adopt the model.

Endorsed across the Rogue Valley

This proposal carries the backing of institutions whose combined authority and capacity make a Workforce Pell track at SOU not just feasible, but operable on Day One. Their endorsements are the signal that alignment is already in place.

Organization 01	Organization 02	Organization 03	Organization 04
Organization 05	Organization 06	Organization 07	Organization 08

Endorsements confirmed at each milestone of Phase 0 – partner names and logos to follow.

Sources & references

TOPIC	SOURCE
Workforce Pell statute	One Big Beautiful Bill Act §83002. Signed Jul 4, 2025.
Federal proposed rule (NPRM)	Notice of Proposed Rulemaking, U.S. Dept. of Ed., <i>Federal Register</i> (Mar 9, 2026). Comment period closed Apr 8, 2026.
Federal final rule	34 CFR Part 668 (Workforce Pell). Published <i>Federal Register</i> , May 19, 2026. Effective Jul 20, 2026; early opt-in Jul 1, 2026.
Plain-English summary	ED Fact Sheet, <i>Workforce Pell Grant Provisions of the Working Families Tax Cuts Act</i> , May 18, 2026.
Strategic analysis for 4-year institutions	T. Dunn, D ² Strategies, <i>Workforce Pell Grants: A Strategic Opportunity for Four-Year Institutions</i> , Manhattan Inst., April 2026.
Federal poverty guideline	2025 HHS Poverty Guidelines (45 CFR §1.5). Single individual: \$15,650; 150% = \$23,475.